

**FEDERAL MARITIME COMMISSION**

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**Docket No. 17-09**

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**FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND FCA ITALY S.P.A.**

**v.**

**WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN  
LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC.,  
NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC.,  
MITSUI O.S.K. LINES, LTD., MOL (AMERICA) INC.,  
KAWASAKI KISEN KAISHA, LTD., “K” LINE AMERICA, INC.,  
COMPAÑÍA SUD AMERICAN DE VAPORES S.A., AND HOEGH AUTOLINERS AS**

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**RESPONDENTS’ CONSOLIDATED OPPOSITION TO  
COMPLAINANTS’ MOTION TO EXTEND  
THE AUGUST 13, 2018 SCHEDULING ORDER**

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Pursuant to Commission Rules 69(f), 71(b) and 102(c), 46 *C.F.R.* §§ 502.62(f), 502.71(b) and 502.102(c), respondents Wallenius Wilhelmsen Logistics AS and Wallenius Wilhelmsen Logistics Americas LLC, (collectively, “WWL”); EUKOR Car Carriers Inc. (“EUKOR”); Nippon Yusen Kabushiki Kaisha and NYK Line (North America) Inc. (collectively, “NYK”); Mitsui O.S.K. Lines, Ltd. and MOL (America) Inc. (collectively, “MOL”); Kawasaki Kisen Kaisha, Ltd., and “K” Line America, Inc. (collectively, “K’ Line”); Compañía Sud Americana de Vapores S.A. (“CSAV”); and Höegh Autoliners AS (“Höegh”) (WWL, EUKOR, NYK, MOL, “K” Line, CASV and Höegh are referred to collectively as “respondents”), by way of their opposition to the motion of complainants Fiat Chrysler

Automobiles NV, FCA US LLC and FCA Italy S.p.A. (collectively, “complainants”) respectfully represent as follows:

**BACKGROUND**

1. Complainants originally filed this action against respondents on or about October 6, 2017.
2. By an October 18, 2017 initial scheduling order, this action was consolidated with Docket Nos. 16-01, 16-07, 16-10 and 16-11 for purposes of the consolidated motion to dismiss filed by respondents in those actions; in the October 18, 2017 initial scheduling order, respondents were granted leave to file a supplemental motion to “indicate which issues and arguments previously briefed apply to this proceeding; should not repeat arguments already made in the pending briefs in the vehicle carrier services cases; and should identify and fully brief any new or different issues.”
3. In compliance with the October 18, 2017 initial scheduling order, on November 30, 2017, respondents filed their supplemental consolidated motion to dismiss; on January 11, 2018, complainants filed their brief in opposition thereto; and on January 26, 2018, respondents filed their reply to that opposition.
4. On May 7, 2018, an initial decision issued, granting in part and denying in part respondents’ supplemental motion to dismiss this complaint, concluding that “the motion to dismiss the reparations claims is granted for all complaints except for any violations in [this action] that [complainants] can establish accrued within three years of the filing of [this action].” It therefore ordered that “[t]he claim for reparations is **DISMISSED WITH PREJUDICE IN PART**, and the claims for a cease and desist order and for reparations for violations within three years of filing the complaint may proceed.”

5. Although the May 7, 2018 initial decision allowed for an interlocutory appeal of the initial decision's dismissal with prejudice of complainants' pre-October 6, 2014 reparations claims, complainants did not seek such interlocutory review.

6. Instead, in compliance with the May 16, 2018 order on respondents' consolidated motion for an extension of time that required that the parties file a joint status report "within ten days of the due date for exceptions [to the May 7, 2018 initial decision granting in part and denying in part respondents' motion to dismiss and supplemental motion to dismiss] with a proposed schedule for resolution of the proceeding[,]" on August 9, 2018, the parties filed their joint status report outlining an agreed-on proposed schedule of proceedings.

7. On August 13, 2018, the presiding officer issued a scheduling order that substantially adopted the agreed-on schedule of proceedings proposed by the parties,<sup>1</sup> noting, however, that "[a]lthough the requested schedule is longer than typically approved, the schedule is reasonable given the complexity of the issues remaining even after the May 7, 2018 initial decision granting in part and denying in part [r]espondents' motion to dismiss and supplemental motion to dismiss."

8. The first deadline in that schedule was the requirement that respondents file their answers, affirmative defenses, etc. to the complaint by October 9, 2018; respondents complied with that deadline.

9. The second deadline in that schedule was the requirement that the parties exchange their initial disclosures by October 23, 2018; the parties complied with that deadline.

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<sup>1</sup> The August 13, 2018 scheduling order states that "the dates proposed jointly by the parties are adopted with the exception of the deadline for filing dispositive motions after the close of discovery. Dispositive motions at the close of discovery are disfavored as it is generally more efficient at that stage of the case to proceed directly to briefing on the merits." (emphasis supplied).

10. The third deadline in that schedule was the requirement that the parties serve written discovery demands by November 2, 2018; the parties complied with that deadline.

11. The fourth deadline in that schedule was the requirement that complainants serve their expert witness report(s) by no later than February 15, 2019; complainants did not comply with that deadline.

(a) on Friday, February 15, 2019, counsel for complainants sent an email to counsel for CSAV that stated as follows:

I'm writing to see if you will organize an extension of the FMC scheduling order among the Respondents today. I believe we are scheduled to exchange expert reports today but with the extension of the written discovery, we were all in agreement that we would need to extend the rest of the schedule.

(b) although there were two extensions to the responses due to written discovery demands, both extensions were requested by complainants -- not by respondents -- and each of which was accompanied by the condition that any extension to producing responses to the written discovery demands would apply equally to both complainants and respondents;

(c) at no time -- in agreeing to complainants' two separate requests to extend the date for production of responses to the written discovery demands -- was the issue of "extend[ing] the rest of the schedule" raised nor was any such notion agreed to by respondents;

(d) on Saturday, February 16, 2019, counsel for CSAV replied:

The February 15, 2019 deadline was for the complainants -- not the respondents -- to serve their expert reports. It was not a date to "exchange" expert reports, as respondents' expert reports are not due until April 2, 2019. See Aug. 13, 2018 scheduling order.

In addition, as I previously indicated, the respondents did not agree to extend the Aug. 13, 2018 scheduling order. Any change to that schedule would require approval from the administrative law judge. Instead, the respondents only agreed to complainants' request for additional time for the production of written discovery requests. The respondents see no legitimate reason to extend the August 1[3], 2018 scheduling order.

12. Instead, on February 20, 2019 -- five days after the February 15, 2019 deadline for complainants to serve their expert report(s) on respondents -- complainants moved to extend the August 13, 2018 scheduling order, alleging that

- (a) written discovery has been exchanged;
- (b) the parties are “in the process of exchanging document productions[;]”
- (c) “[c]omplainants have also served deposition notices on certain of the [respondents], although those depositions have not yet taken place[;]”
- (d) “[a]t the same time, [c]omplainants have been in active settlement talks with several of the [r]espondents” and that “[t]he parties have engaged the assistance of the Federal Maritime Commission’s mediation office for certain of these negotiations[;]”
- (e) “[s]everal of the parties, including [c]omplainants, have indicated that settlement talks could be inhibited by the parties being forced to spend significant time and money on discovery[;]”
- (f) “[c]omplainants therefore believe that settlement efforts will be assisted by the parties being given additional time to explore settlement before the expiration of the discovery deadline, currently scheduled for March 4, 2019” and that “[i]n order to allow those talks to continue, and to try to resolve its claims without the intervention of the Commission, [c]omplainants request that the dates in the August 13, 2019 scheduling order be extended by six months[;]”
- (g) “[e]xtending the case schedule in the requested manner should reduce the costs incurred by both [c]omplainants and [r]espondents, and allow for the most efficient resolution of this matter[;]” and,
- (h) “[d]espite the fact that at least some of the [r]espondents agree that it is inefficient to expend resources on discovery while engaging in settlement negotiations” and that “[c]ounsel for the WWL [r]espondents acknowledged that the parties agreeing to a extend the deadline to respond to written discovery “may well have a cascading effect on the remainder of the schedule”,<sup>2</sup> [r]espondents have not consented to the relief requested[.]”

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<sup>2</sup> Regrettably, complainants have chosen to misleadingly cite this reference. On November 28, 2018, in the context of WWL and EUKOR consenting to complainants’ earlier request for additional time within which to produce responses to the written discovery demands propounded on complainants “provided the extension to respond to the pending discovery demands is reciprocal,” that response cautioned -- well before any deadline loomed -- that “we all must bear in mind what that extension does to the dates set forth in the August 13, 2018 scheduling order (which already states that ‘the requested schedule is longer than typically approved’): an

13. This opposition followed.

**OPPOSITION TO MOTION TO EXTEND**

14. Complainants have tendered several reasons they claim the relief they request should be granted. For ease of reference, they are examined separately.

15. The exchange of written discovery and the production of documents.

Although written discovery was exchanged over a month ago, complainants have done nothing with it; many of respondents' responses to complainants' requests for the production of documents advised that a discovery confidentiality order would be needed before documents would be disclosed, yet complainants neither have circulated a draft discovery confidentiality order for approval by respondents, nor have complainants submitted any such discovery confidentiality order to the presiding officer for approval. Hence, because complainants have done nothing with the written discovery that has been exchanged, it is irrelevant to complainants' request to extend the August 13, 2018 scheduling order.

16. Complainants' deposition notices. On February 18, 2019, complainants did electronically serve corporate designee deposition notices on respondents; they required that corporate representatives of each of respondents appear for deposition at the offices of complainants' counsel in Ann Arbor, Michigan -- a location that bears no relation to this case -- on the following dates and times:

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extension of the deadline for responding to written discovery demands may well have a cascading effect on the remainder of the schedule." Obviously, those words of caution were not heeded: complainants (i) allowed the deadline for the service of their expert reports to expire, (ii) did not seek any respondent's consent to an extension of that deadline until the date of the deadline itself, and (iii) did not seek the presiding officer's approval until five days after the deadline expired.

| <b>DEPONENT</b>  | <b>DATE</b>   | <b>START TIME</b> |
|------------------|---------------|-------------------|
| WalWil           | Feb. 27, 2019 | 9:30 a.m.         |
| WWL Americas     | Feb. 27, 2019 | 9:30 a.m.         |
| EUKOR            | Feb. 27, 2019 | 12:30 p.m.        |
| Höegh            | Feb. 27, 2019 | 9:30 a.m.         |
| NYK              | Feb. 28, 2019 | 9:30 a.m.         |
| NYK N.A.         | Feb. 28, 2019 | 9:30 a.m.         |
| “K” Line         | March 1, 2019 | 9:30 a.m.         |
| “K” Line America | March 1, 2019 | 9:30 a.m.         |
| MOL              | March 4, 2019 | 9:30 a.m.         |
| MOL America      | March 4, 2019 | 9:30 a.m.         |
| CSAV             | March 4, 2019 | 9:30 a.m.         |

That schedule -- consisting of simultaneously scheduled depositions -- is unreasonable on its face. Further, the scope of the testimony required of each such corporate designee was expansive and overbroad, covering eight separate categories. On February 20, 2019, complainants were advised that complainants’ corporate designee deposition notices were defective in at least three separate respects: (a) complainants had failed to provide reasonable notice, as required by 46 C.F.R. § 502.143(b)(1); (b) the location for the depositions had no nexus to this case and that, although depositions of corporate designees typically are conducted where the corporation’s principal place of business or the corporate officer’s residence is located, respondents suggested that the corporate designee depositions be held where the complaint was filed and, hence, where the case is venued: Washington, D.C.; and (c) the scope of the subject matter of the corporate designee depositions is far too broad. The May 7, 2018 initial decision set the relevance boundaries for this case going forward, holding that any claims before October 6, 2014 are time-barred, and ordered that the parties should conduct a meet-and-confer to define with greater clarity the scope of the corporate designee depositions and, failing agreement, the parties should seek appropriate guidance from the presiding officer (a meet-and-confer, as proposed by respondents, is in the process of, but has not yet been, scheduled).

17. Settlement discussions. Regardless of whether complainants are engaged in settlement discussions with some of respondents, they certainly are not engaged in settlement discussions with all respondents. For example, on December 7, 2018, complainants made a settlement demand of WWL and EUKOR. On December 17, 2018, WWL and EUKOR rejected complainants' settlement demand and countered with a nuisance value settlement; they also advised that they "expect to receive [complainants'] responses to [WWL's and EUKOR's] pending discovery demands by the January 8, 2019 deadline." The next day, complainants -- in lieu of responding -- stated that they "are looking forward to receiving [WWL's and EUKOR's] discovery responses by [January 8, 2019] as well, including -- without limitation -- all of the documents and information we have requested related to [WWL's and EUKOR's] guilty plea, and . . . fine, in connection with this 'nuisance' case."<sup>3</sup> To claim, therefore, that settlement discussions that lasted all of ten days and ended in mid-December somehow have impeded complainants' ability to comply with the August 13, 2018 scheduling order simply is not credible.

Likewise, on December 7, 2018, complainants made a settlement demand of Höegh. On January 7, 2019, Höegh rejected complainants' settlement demand and countered with a nuisance value settlement; no response has been received. Complainants cannot credibly claim that "settlement discussions" consisting in their entirety of an exchange of a demand and a

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<sup>3</sup> By way of response within all of fifteen minutes, complainants were advised to "rest assured that [complainants] will receive from [WWL and EUKOR] what [WWL and EUKOR] deem to be all properly discoverable material in this case. Relevance and the needs of the case -- and not anyone's personal view of them -- provide the standard that governs discovery." Complainants never responded to that communication.

Also, complainants conveniently ignore the fact that the guilty plea on which they rely was for actions before September 6, 2012, and complainants' claims are limited to conduct occurring on or after October 6, 2014.

counter, and accompanying short explanatory communications somehow impeded complainants' ability to comply with the August 13, 2018 scheduling order.

Further, NYK has not been and is not now engaged in settlement discussions with complainants.

18. Complainants' request is overbroad. Even if there is some basis for extending some of the deadlines in the August 13, 2018 scheduling order -- and respondents respectfully submit that there is none -- there certainly is no basis on which to extend those deadlines that already expired. As noted above, complainants were required to serve their expert witness report(s) by no later than February 15, 2019, something complainants failed to do. Under the most charitable interpretation of the excuse tendered by complainants for their failure to act -- that they did not want to incur additional expenses when they were looking to settle the case -- complainants knew, at least since December 17, 2018, that there was no settlement contemplated or even under discussion with at least one set of respondents and, therefore, complainants had to be ready to move forward in accordance with the terms of the August 13, 2018 scheduling order. Furthermore, complainants' backhanded attempt to secure an unspoken *nunc pro tunc* extension of an already expired deadline -- by coyly couching their application as an innocent-sounding motion to extend the scheduling order while ignoring its divisible components -- cannot be countenanced.<sup>4</sup> Therefore, to the extent any extension of the August 13, 2018 scheduling order is to be considered, it must be applied prospectively only; all expired deadlines should remain as they are: expired. Further, complainants have made no showing why extending the dates they earlier agreed on and represented as proper to the presiding officer now

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<sup>4</sup> Under Rule 102, relief from missed filing deadlines require a showing of exceptional circumstances, and the request for relief must be accompanied by the untimely filing; complainants' motion fails on both counts.

should be extended for an additional six months; any such extension, if granted, should be for a far shorter period, particularly where, as here, the presiding officer described the original schedule proposed by the parties and adopted by the presiding officer as “is longer than typically approved[.]”

**WHEREFORE**, for the foregoing authority, arguments and reasons, respondents respectfully request that complainants’ motion to extend the August 13, 2018 scheduling order be denied or, in the alternative, that it be granted on a prospective-only basis and for a period far shorter than the six months requested by complainants, leaving all pre-February 20, 2019 deadlines unaffected and in place.

Respectfully submitted,

**DATED:** February 25, 2019



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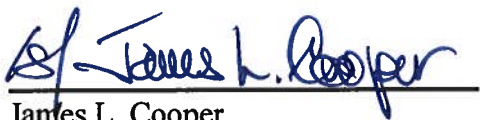
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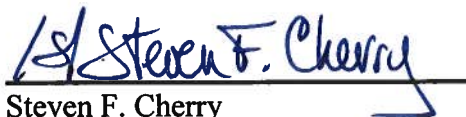
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**CERTIFICATE OF SERVICE.**

I hereby certify that, on February 25, 2019, true and correct copies of the foregoing respondents' consolidated opposition to complainants' motion to extend the August 13, 2018 scheduling order was filed electronically with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to counsel for complainants in Docket No. 17-09.

**DATED:** February 25, 2019



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Roberto A. Rivera-Soto